



materials and the supplier ecosystem rather than only final assembly.

The second is competing through technology, with greater investment in research and development to do more in advanced engineering, automation, tooling and intellectual property.

Third is the need to strengthen smaller manufacturers so that they also become globally competitive suppliers.

And finally, position India as a Global South manufacturing hub, creating products and industrial solutions designed not only for developed markets but also for the fast-growing economies of Asia, Africa and West Asia.

These are the four things that would be a good change to move away from this assembly-led model to a deeper manufacturing ecosystem.



Will geopolitics continue to be a key driver and function as an impetus to broaden and deepen India's manufacturing base?

Absolutely. There are a host of things that companies must contend with today that they did not over the past three to four decades. Supply chains are constrained today. Wars are going on, and that means there is a risk that supplies could stop immediately. Therefore, for companies, geopolitics has become one of the top two or three concerns to consider and be mindful of.

That is why strategic autonomy is important. We know that everything cannot be designed, developed, sourced or produced in India. Earlier, the idea was—I would source it from anywhere in the world. The world is my playground. But today that is not the case.



What should medium and small companies do in such a situation?

A combination of things, really. For instance, mapping



the entire component value chain and asking where this comes from. Companies need to broaden their horizons and ask whether we have multiple options. This is especially important.

They also need to put their hand up and do some localisation and not depend on everything being sourced from elsewhere.

They should undertake backward and forward integration to see which parts of the value chain they can produce on their own.

Scaling up also makes a difference.

So, if they can do some of these things, smaller companies can manage the crises brought about by geopolitical issues or tariffs, among other things.



Do you think companies will continue to remain competitive once the production-linked incentive (PLI) schemes reach the end of life?

The PLI schemes have helped in several sectors. There